NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

ACCOUNTING INFORMATION SYSTEMS

CAC 4104

Examination Paper

November/December 2022

This examination paper consists of 3 printed pages including cover page

Time Allowed:	3 hours
Total Marks:	100
Examiner's Name:	C. Ncube

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1. AR
2. Tax
3. audit
4. 1.5
5.
6.

INSTRUCTIONS

1. Answer all questions
2. Each question carries 25 marks
3. Use the answer book provided
4. Use a black or blue pen
5. Begin each question on a new page and
6. Submit all answer books

MARK ALLOCATION

QUESTION	MARKS
1.	25
2.	25
3.	25
4.	25
TOTAL	100

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QUESTION ONE

a) Discuss the flow of cash through the transaction cycles. Include in your discussion the relevant subsystems and any time lags that may occur. **[15 Marks]**

a. Discuss the major control implications of batch systems with real-time data input. What compensating procedures are available? **[10 Marks]**

QUESTION TWO

While auditing the financial statements of Revo Distributions, the certified public accounting firm of Henry and James discovered that its client's legal expense account was abnormally high. Further investigation of the records indicated the following:

i. Since the beginning of the year, several disbursements totalling $15,000 had been made to the law firm of Turner and Company.

ii. Turner and Company were not Revo Distributions 'attorneys.

iii. A review of the cancelled cheques showed that they had been written and approved by Tony Zuze, the cash disbursements clerk.

iv. Tony Zuze's other duties included performing the end-of-month bank reconciliation.

v. Subsequent investigation revealed that Turner and Company are representing Tony Zuze in an unrelated embezzlement case in which he is the defendant. The cheques had been written in payment of his personal legal fees.

Required

b. What control procedures could Revo Distributions have employed to prevent this unauthorized use of cash? Classify each control procedure in accordance with the COSO framework (authorization, segregation of functions, supervision, and so on). **[16 Marks]**

c. Comment on the ethical issues in this case. **[9 Marks]**

QUESTION THREE

The company of Ximato have been implementing ERP system for two years now. Since the implementation of the ERP system, the company has been suffering from business losses and problems. Rodgers Mayor, the CEO of the company blames these issues on computer and technical and malfunctions. As an ERP consultant, write a memo describing how these issues are caused by people problems and misguided expectations, rather than computer issues.

[25 Marks]

QUESTION FOUR

a) Reengineering is "the fundamental rethinking and radical redesigning of business processes to achieve dramatic improvements in critical, contemporary measures of performance, such as cost, quality, service and speed" Discuss. **[25 Marks]**

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